
Theme 3: Business decisions and strategy

Overview

In this theme, students develop their understanding of the concepts introduced in Theme 2 and explore influences on business strategy and decision-making.

Students will need to build upon the knowledge, skills and understanding developed in Theme 2 in Theme 3, making connections across these two themes in Paper 2, and across Themes 1, 2, 3 and 4 in Paper 3. Teaching approaches to content must reflect this.

Students will need to apply their knowledge and understanding to both familiar and unfamiliar contexts in the assessments and demonstrate an awareness of current business issues.

Content

This theme moves from functions to strategy, enabling students to develop their understanding of the core concepts and to take a strategic view of business opportunities and issues. Students analyse corporate objectives and strategy against financial and non-financial performance measures and how businesses grow, and develop an understanding of the impact of external influences.

The theme covers the causes and effects of change and how businesses mitigate risk and uncertainty.

Students must investigate different types and sizes of organisation in various business sectors and environments, and in local, national and global contexts.

To develop their knowledge, skills and understanding in business, students need to have acquired competence in quantitative skills that are relevant to and applied in the context of this theme

(see *Appendix 3: Quantitative skills*).

For this theme, students will need to be aware of the accounting ratios outlined in *Appendix 4: Accounting ratios*.

3.1 Business objectives and strategy

Subject content	What students need to learn:
3.1.1 Corporate objectives	a) Development of corporate objectives from mission statement/corporate aims b) Critical appraisal of mission statements/corporate aims
3.1.2 Theories of corporate strategy	a) Development of corporate strategy: - o Ansoff's Matrix - o Porter's Strategic Matrix b) Aim of portfolio analysis c) Achieving competitive advantage through distinctive capabilities d) Effect of strategic and tactical decisions on human, physical, and financial resources
3.1.3 SWOT analysis	a) SWOT analysis - o internal considerations: strengths and weaknesses - o external considerations: opportunities and threats
3.1.4 Impact of external influences	a) PESTLE (political, economic, social, technological, legal and environmental) b) The changing competitive environment c) Porter's Five Forces